Research Note: Retail Loan Approval Process

Context for the Agentic AI Loan Approval Demo | India | October 2026

1. Purpose and scope

This note summarises a typical retail personal-loan journey in India to inform a fictional loan-assessment prototype. Exact steps, documents, credit policies and service timelines vary by lender, product, applicant profile and whether an offer is pre-approved. The sources below are public bank pages; this note is not legal advice or a substitute for a lender's current policy.

2. Typical end-to-end process

Application and initial eligibility. The applicant provides personal, employment/business, income and requested-loan details. The lender checks basic eligibility and may show an indicative or pre-approved offer. An indicative offer is not necessarily a final sanction.

KYC and document collection. Lenders commonly request identity and address proof, PAN, income evidence, and bank statements. For salaried applicants, recent salary slips and sometimes Form 16/ITR may be requested; self-employed applicants may need business proof and tax returns. Requirements differ by lender.

Verification and credit assessment. The lender verifies submitted information, reviews credit history/credit-bureau information, assesses income and existing obligations, and evaluates repayment capacity under its own policy. Missing, inconsistent or unverifiable information can trigger follow-up requests or manual review.

Decision, offer and acceptance. The lender decides whether to approve, decline or request further information. If approved, the borrower receives the applicable amount, pricing, tenure, fees and terms; required acceptance and documentation must be completed before disbursement.

Documentation and disbursement. After final checks and completion of required formalities, funds may be disbursed. An approval estimate or pre-approved offer should not be represented as guaranteed disbursement.

3. Roles and typical evidence

Applicants submit accurate information and requested documents. Relationship managers or branch/digital origination teams help capture applications. Operations/KYC staff check identity and completeness. Credit/risk teams or automated decision systems evaluate creditworthiness and policy eligibility. Authorised officers handle exceptions and decisions where required. Disbursement/operations teams complete post-approval formalities. The allocation of responsibilities varies across institutions.

Common evidence can include an application form; PAN and other accepted identity/address documents; salary slips, Form 16 or income-tax returns; bank statements; employment/business details; credit-bureau information; and loan-specific documents. The lender's own checklist takes precedence.

4. Turnaround times and operational pain points

Published bank timelines are not uniform. For example, SBI lists a three-day timeline for certain urban retail personal loans, while Standard Chartered India describes disbursement within 4–7 working days after required documents are received, subject to eligibility. ICICI Bank describes some personal loan approvals as possible within one working day for eligible cases, with internal checks still applying. These are lender-specific examples, not a universal industry standard. Timelines can exclude time spent waiting for applicant information and may lengthen when additional verification is required.

Common workflow challenges (reasonable process-design observations rather than measured findings from a practitioner study) include incomplete applications, inconsistent data across documents, repeated manual data entry, delays while obtaining missing evidence, difficulty explaining why a case was flagged, and the need to maintain audit trails. Any claim about frequency or quantified impact would require interviews or operational data.

5. Relevance to the demo

The current prototype illustrates structured fictional applicant records, MySQL persistence, CSV export, Python rule-based affordability/risk checks, simulated document statuses, a preliminary recommendation, and human decision recording. It does not connect to a live credit bureau, real document extraction, Google BigQuery or LLM-powered agents. A future agentic workflow could help check document completeness, retrieve approved policy clauses, summarise evidence and flag inconsistencies; an authorised human should retain responsibility for final lending decisions. These are proposed capabilities, not implemented facts.

6. Practitioner conversation and evidence limitations

Practitioner conversation: not yet conducted or supplied for this note. Before submission, interview a banking/loan-operations or credit professional if feasible, with their consent. Record role (not sensitive personal details), date, broad questions, key observations and permission to quote. Do not claim an interview occurred unless it actually did. Public sources alone do not satisfy a requirement for practitioner conversations.

Sources

- State Bank of India — Timelines for Conveying Credit Decisions (updated 2 Dec 2025). https://sbi.bank.in/web/personal-banking/information-services/government-business/timelines-for-credit-decisions
- Standard Chartered India — Personal Loan Application Help Desk. https://www.sc.bank.in/help/personalloan/application/
- ICICI Bank — Personal Loan Application Process. https://www.icici.bank.in/personal-banking/loans/personal-loan/application-process
- ICICI Bank — Personal Loan Documentation. https://www.icici.bank.in/personal-banking/loans/personal-loan/documentation
- Union Bank of India — Personal Loan Documents Required. https://www.unionbankofindia.bank.in/en/details/personal-loan-documents-required